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WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

Inflation ... Finally

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Last Week's S&P 500 Index:
-1.3%

Key takeaways

» *The Federal Reserve has been telling the markets that its 2% inflation target was expected to be reached in the "medium term" for nearly 10 years.*

» *Now, finally, as measured by core PCE, the target has been met. The Fed could very well allow inflation to run slightly above the target.*

When this strategist was in grade school, my grandfather, a farmer growing grain and raising cattle in west-central Illinois, told me that "a little inflation is a good thing." He repeated this to me multiple times over the years as I was growing up, but I really didn't understand what he was talking about until I was a bit older and a bit wiser about how the world really worked.

You see, my grandfather had nearly all of his net worth tied up in farmland. Like most other farmers then and now, Grandpa used the underlying value of his ground as collateral for a line of credit. With that line of credit he bought the seed, fertilizer, and cattle he needed to run his operation. The cash used to pay back those borrowed funds came in when crops were harvested, and cattle were sold. Cash inflows for farmers do not normally occur on a weekly or bi-weekly basis; they usually happen only a few times each year.

The Federal Reserve (Fed) has been trying for nearly 10 years to get inflation, as measured by "core" Personal Consumption Expenditures (PCE), consistently up at the 2% level. Most investors are more familiar with the monthly Consumer Price Index (CPI) report. These two inflation indicators differ largely due to the way housing and health care are accounted for in each. Over the years since the financial crisis, the Fed has told investors over and over that inflation was expected to move to the targeted level "in the medium term." This strategist isn't sure what most people's interpretation of what qualifies as medium term is, but a guess would be far less than 10 years.

And why would the Fed want to see slightly higher inflation? We all know that central bankers fear high inflation. They seek "price stability." We would argue that the only thing central bankers may fear more than high inflation is deflation. Broad, widespread deflation in everything from land and home values to stocks is destructive. While most consumers certainly do not mind paying less for something (i.e., a new flat-screen television), they do not want to see deflation lead to falling home values and decreasing wages.

In a normal economic cycle, the Fed lowers interest rates to encourage borrowing and spending. It usually works and leads to better economic growth and, eventually, rising inflation. But in this cycle, after the bursting of a gigantic credit bubble (housing) and the Fed dropping rates to near zero, businesses and consumers were hesitant to borrow and spend. Lower interest rates took much more time to work than in most past cycles.

Our outlook calls for just one more Fed interest rate hike this year. Our macro outlook calls for only slightly higher inflation this year versus last. But looking forward, what is the Fed likely to do? Now that core PCE has moved back up to 2%, will our central bank move aggressively to halt a further advance? That is one of the questions the stock market is debating right now. We are not looking for our central bankers to make a mistake and shut down the expansion, at least in the nearer term. In fact, this strategist wouldn't be surprised if the Fed allowed inflation to get a little "hotter," especially after working hard for most of the last decade to generate a consistent modest rise in prices.

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